

Purchase Contract

Between

OCIM Sdn. Bhd.
200901025672 (868774-M)

**Lot 600, 6th Floor, Wisma Bukit Mata Kuching,
Jalan Tunku Abdul Rahman, 93100 Kuching, Sarawak, Malaysia**

and

Silicon Smelters (Pty) Ltd.

**Joubertsrust 310 JS, Voortrekker Road, PO Box 214,
eMalahleni (Witbank) 1035, South Africa**

Contract Date: December 12th, 2022

Contract No.: FERRO-OCIM-2023/SMLJ-001



Table of Contents

Article 1. Products

Article 2. Quantity; Price; Payment

Article 3. Delivery and Packing; Inspection of the Products

Article 4. Late Delivery

Article 5. Warranty

Article 6. Remedy for Delivery Failure

Article 7. Force Majeure

Article 8. Taxes, Transportation Charges, and Insurance Costs

Article 9. Indemnity and Intellectual Property Indemnification

Article 10. Termination

Article 11. Governing Law and Arbitration

Article 12. Trade Terms

Article 13. Assignment

Article 14. Entire Agreement and Modification; No Waiver

Article 15. Effective Date and Term

Article 16. Miscellaneous



Purchase Contract

This Contract (the "Contract") is entered into as of December 12th, 2022 (the "Effective Date") by and between **OCIM Sdn. Bhd.**, with its registered office at Lot 600, 6th Floor, Wisma Bukit Mata Kuching, Jalan Tunku Abdul Rahman, 93100 Kuching, Sarawak, Malaysia ("Buyer"), and **Silicon Smelters (Pty) Ltd.** with its registered office at Joubertsrust 310 JS, Voortrekker Road, PO Box 214, eMalahleni (Witbank) 1035, South Africa ("Seller"). Buyer and Seller may be referred to herein individually as a "Party" and collectively as the "Parties."

WITNESSETH

WHEREAS, Buyer desires to purchase from Seller, and Seller desires to sell to Buyer, silicon metal powders pursuant to the terms and conditions of this Contract.

NOW, THEREFORE, in consideration of the premises and covenants herein contained, the Parties hereto agree as follows:

Article 1. Products

Subject to the terms and conditions set forth in this Contract, Seller shall sell and deliver to Buyer, and Buyer shall purchase from Seller, silicon metal powders compliant with the following specifications (the "Products"):

Item Description (the "Specifications")

- Item: Silicon Metal Powders, Si 99.0% min.
- Chemical impurities
 - Fe [REDACTED] max., Al [REDACTED] max., Ca [REDACTED] max., B [REDACTED] max., P [REDACTED] max., Ti [REDACTED] max., Mn [REDACTED] max., Moisture [REDACTED] max., Carbon [REDACTED] max.
- Size: Under 45 μm 2% max., 45-710 μm 96% min, Over 710 μm 2% max.
- Origin: South Africa

For the detail of specification shall be according to Appendix 1.

Article 2. Quantity; Price; Payment

2.1 It is understood and agreed between Buyer and Seller that Buyer is required to purchase and receive from Seller [REDACTED] in total per year of the Products set forth in the table below, and Seller is required to sell and supply the respective quantity of the Products to Buyer unless otherwise is agreed in writing by the Parties.



Jan.'23	Feb.'23	Mar.'23	Apr.'23	May '23	Jun.'23	Jul.'23	Aug.'23	Sep.'23	Oct.'23	Nov.'23	Dec.'23
MT	MT	MT	MT	MT	MT	MT	MT	MT	MT	MT	MT

2.2 Price

The price of the Products shall be adjusted on a quarterly basis over the two year period according to the following price formula:

- Price Formula



2.3 Terms of Payment

Contemporaneously with each delivery of the Products under this Contract, Seller shall issue an invoice to Buyer for the Products being delivered. All payments shall be paid in US Dollars 30 days from bill of lading date by telegraphic transfer to a bank account designated by Seller. Any payments by Buyer that are not paid on the date such payments are due and payable under this Contract shall bear interest at the rate of [10%] per annum which shall accrue up to and including the date such payment is made.

Article 3. Delivery and Packing; Inspection of the Products

3.1 Shipments shall be made in accordance with the shipment schedule mutually agreed to by Buyer and Seller, which shall be evenly spread over the term of the Contract and the details of

the delivery schedule for each shipment shall be agreed by the Parties in timely manner. For the avoidance of doubt, "delivery" by Seller shall be deemed completed when the Products are physically placed on board the vessel bound for the destination port, and the "Agreed Delivery Date" shall mean the date of delivery agreed by the Parties in accordance with this Article 3.

3.2 Terms of shipment are INCOTERMS 2020 CIF Bintulu, Malaysia.

3.3 In any case, Seller shall deliver to Buyer [REDACTED] (or any other quantity as may be agreed by the Parties) of the Products in full by no later than December 31st, 2024. Time shall be of the essence in this Contract. Seller retains title to and ownership of the Products until payment for such delivery has been received in full by Seller. The risk shall pass to Buyer in accordance with INCOTERMS 2020.

3.4 Seller shall pack and mark the Products in accordance with Buyer's instructions and ensure that packing and packaging of the Products are suitable for long-distance ocean/parcel post/air freight transportation and for changes in climate, as well as being protected against moisture and shocks. Seller shall be liable for any damage to the Products and expenses incident thereto on account of improper packing, packaging and/or improper protective measures taken by Seller in regard to the packing/packaging referring to Appendix 2.

3.5 The Products shall be packed, packaged and marked in the manner customary for exporting and standard export packing, packaging and marking. In case special instructions are necessary, Buyer shall furnish Seller with such instructions in time for preparation or shipment of the Products the incidental cost of which, if any, shall be for Buyer's account.

3.6 Seller shall perform the test and inspection of each shipment of the Products prior to shipment, in Seller's country and at Seller's expense, in accordance with the test and inspection methods and processes which are approved by Buyer and Seller shall provide a certificate of analysis ("CoA") with each shipment of the Products not later than seven (7) days prior the Agreed Delivery Date. Seller shall establish its inspection systems and procedures and make its records available to Buyer upon any request of Buyer. Further, Buyer reserves the right to witness the test and inspection at times and places designated by Buyer.

Article 4. Late Delivery

4.1 In the event that Seller fails to deliver the Products in accordance with the Agreed Delivery Date for reasons attributable to Seller, including but not limited to failure caused by Seller to provide Buyer with a CoA to the Buyer's satisfaction, Buyer shall have the right to claim

liquidated damages in the amount equal to zero point one percent (0.1%) of the price of those Products for which shipment has been delayed, for each one (1) day of delay from the scheduled delivery date until the actual delivery date thereof. Without prejudice to the foregoing, the total amount of delay liquidated damages payable by Seller for each delayed shipment shall be capped at ten percent (10%) of the value of the Products for which shipment has been delayed. The Seller shall not be responsible for any delay solely due to third parties, including but not limited to local government and local authorities, port authorities, shipping line, vessel's availability.

4.2 In the event of Force Majeure as defined in Article 7 of this Contract, liquidated damages for late delivery shall not be applied.

Article 5. Warranty

5.1 Seller warrants that the Products supplied hereunder (a) shall be free from any defect or nonconformity in workmanship and materials, and (b) shall be in strict compliance with the Specifications and other requirements as set forth in this Contract, as well as generally accepted manufacturing standards.

5.2 In case of any defective or non-conforming Products, Seller shall correct, at its own cost and expense, such defect or nonconformity with this warranty at its sole expense and at the direction and sole discretion of Buyer, by promptly accomplishing one or more of the following: (a) repairing or replacing the defective or non-conforming Products; (b) furnishing Buyer any materials, parts, and instructions necessary to correct or have corrected the nonconformity, including reimbursement of Buyer's costs; or (c) paying Buyer a portion of the Contract price attributable to the non-conforming Products.

5.3

The Products shall be manufactured at the factory(ies) listed in (ii) hereunder, using the silicon metal lumps manufactured at the factory(ies) listed in (i) hereunder as the raw material:

(i) Silicon Metal Lumps Manufacturer: Silicon Smelters (Pty) Ltd

(ii) Silicon Metal Powder Manufacturer Silicon Smelters (Pty) Ltd

The silica is manufactured at the following factory.

(iii) Silica Manufacturer: Silicon Smelters (Pty) Ltd (Thaba Chueu Mining).

5.4 This warranty shall be limited to a period of twelve (12) months after delivery of the Products to the Buyer for storage in a roofed warehouse.

Article 6. Remedy for Delivery Failure

Without prejudice to any other provision hereunder or available at laws, including the provision of Article 4.1 above, in case that Seller becomes aware that it will not be able to meet any Agreed Delivery Date, Seller shall shortly notify at least Forty five (45) days prior to the applicable Agreed Delivery Date to Buyer and Buyer, in its sole discretion, may by written notice to Seller, immediately: (i) rescind the corresponding shipment, or (ii) terminate the whole Contract as to any undelivered balance without any further liability.

Article 7. Force Majeure

7.1 Except for Buyer's payment obligation due for the conforming Products delivered by Seller, a Party (the "Affected Party") hereto shall not be responsible to the other Party (the "Non-Affected Party") for nonperformance either in whole or in part or delay in performance of the terms and conditions of the Contract, due to fire, flood, riot, war, sabotage, strike, embargo, public health emergency, government action, or perils of the sea. In case of any such event, the terms of this Contract relating to time and performance shall be suspended during the continuance of the event.

7.2 Within five (5) days from the date of commencement of the force majeure event, the Affected Party shall notify the Non-Affected Party by e-mail, facsimile or cable of the date when such delay in performance commenced, and the reasons therefore as enumerated in this Contract; likewise, within five (5) days after the force majeure event ends, the Affected Party shall notify Non-Affected Party by email, facsimile or cable of the date when such delay ended, and shall also specify the time by which the performance of the obligation hereunder shall be completed.

7.3 If the performance of any obligations under this Contract is delayed due to any of the force majeure events enumerated in this Article for any continuous period of more than one (1) month, the Non-Affected Party shall have right to terminate this Contract upon seven (7) days written notice.

Article 8. Taxes, Transportation Charges, and Insurance Costs

Seller shall bear all transportation charges and insurance costs relating to the Products, and sales, use, excise, value-added or other taxes, duties (including export duties) or assessments, including interest and penalties, levied or imposed on the Products at any time by any governmental authority outside of Malaysia. Buyer shall bear duties and taxes imposed on the



Products by the Malaysian tax authority.

Article 9. Indemnity and Intellectual Property Indemnification

9.1 A Party (the "Indemnitor") shall defend, indemnify and hold the other Party and its officers, directors, employees, consultants, agents and other representatives (the "Indemnitees") harmless from and against any and all liability, damage, loss, cost or expense (including reasonable attorneys' fees) arising out of third party claims or lawsuits related to or arising out of the Indemnitor's breach of any of its covenants, representations or warranties set forth in this Contract. Upon the assertion of any such claim or suit, the Indemnitees shall promptly notify the Indemnitor and the Indemnitor shall appoint counsel reasonably acceptable to the affected Indemnitees to represent such Indemnitees with respect to any claim or suit for which indemnification is sought. The Indemnitees may select their own respective counsel, at the Indemnitor's cost, upon notice to the Indemnitor; provided, however, that they shall not settle any claim or suit hereunder without the prior written consent of the Indemnitor.

9.2 Seller shall defend, indemnify and hold harmless Buyer, Buyer's customer, and their officers, agents, and employees from any and all liability, including costs and expenses, for infringement of any patent, copyright, trademark and other intellectual property right arising out of performance by Seller under the Contract or Buyer's or Buyer's customer's possession or use of the Products. Buyer shall inform Seller as soon as practicable of any suit or claim alleging such infringement and shall give Seller such opportunity, if afforded by applicable laws, rules, or regulations to participate in the defense thereof.

9.3 In case the Products, or any part thereof, as a result of any suit or proceeding so defended is held to constitute infringement or its use by Buyer or Buyer's customer is enjoined, Seller shall, at its option and its own expense: (a) procure for Buyer the right to continue using said Products; (b) replace it with substantially equivalent non-infringing products; or (c) modify it so it becomes non-infringing.

Article 10. Termination

10.1 This Contract may be terminated upon the occurrence of any of the following events:

- 1) Agreement in writing by both Parties;
- 2) Termination pursuant to Article 6
- 3) By the non-defaulting Party, upon default by the other Party in the performance of any of its obligations under the Contract other than except for on-time delivery with conforming Products to Specifications pursuant to Article 6, if not remedied within thirty (30) days after receipt of written notice from the non-defaulting Party;

4) By the other Party, upon either Party's (a) making an assignment for the benefit of creditors, being adjudged bankrupt, or becoming insolvent; (b) having a reasonable petition filed seeking its dissolution or liquidation not stayed or dismissed within sixty (60) days; or (c) ceasing to do business for any reason;

5) Termination pursuant to section 7.3

10.2 Upon termination of the Contract, neither Party shall be discharged from any antecedent obligations or liabilities to the other Party under the Contract unless otherwise agreed in writing by both Parties.

10.3 Nothing in the Contract shall prevent either Party from enforcing the provisions thereof by such remedies as may be available in lieu of termination.

Article 11. Governing Law and Arbitration

11.1 This Contract shall be governed in all respects by the laws of England. The provisions of the United Nations Convention on the International Sale of Goods shall not apply to this Contract

11.2 All disputes, controversies, or differences which may arise between the Parties, out of or in relation to or in connection with this Contract or for the breach thereof, shall be finally settled by arbitration in Singapore in accordance with the rules and procedures of the Arbitration Rules of the Singapore International Arbitration Centre then in force by one (1) arbitrators appointed in accordance with the said rules. The language to be used in the arbitral proceedings shall be English. The award rendered by the arbitrator(s) shall be final and binding upon both Parties concerned.

Article 12. Trade Terms

12.1 The trade terms under this Contract shall be governed and interpreted in accordance with Incoterms 2020 of the International Chamber of Commerce.

12.2 In the event of conflict between the terms and conditions of this Contract and Incoterms 2020, the terms and conditions of this Contract as interpreted by the laws of Hong Kong.

Article 13. Assignment

Neither Party shall assign this Contract to any other person without the other Party's prior written consent. In the event of assignment with the written consent of the other Party, the assignor shall not be relieved from its obligations under this Contract and shall be held responsible for the assignee's performance.



Article 14. Entire Agreement and Modifications; No Waiver

14.1 This Contract constitutes the entire agreement between the Parties, all prior representations having been merged herein, and may not be modified except by a writing signed by duly authorized representatives of both Parties.

14.2 The failure by either Party to enforce, at any time, or for any period of time, any provision hereof or the failure of either Party to exercise any option herein shall not be construed as a waiver of such provision or option and shall in no way affect that Party's right to enforce such provision or exercise such option. No waiver of any provision hereof shall be deemed to be, or shall constitute, a waiver of any other provision or with respect to any succeeding breach of the same provision.

Article 15. Effective Date and Term

This Contract shall become effective as of the Effective Date first above written and remain in full force and effect until December 31, 2024, unless terminated earlier pursuant to Article 10 hereof.

Article 16. Miscellaneous

The Seller and the Buyer shall discuss in good faith any issue that may arise during the validity of this Contract, which is not explicitly stipulated herein.



IN WITNESS WHEREOF, the Parties hereto have executed this Contract as of the day and year first above written, by its duly authorized representatives.

Agreed and Accepted by

(Buyer)
OCIM Sdn. Bhd.

By:



(Seller)

By:

Name: Choi Sung Kil

Title: President

Name: Paul Lojek

Title : President

Appendix 1. Specification of product

Test Item	Unit	
Fe	ppmw	
Al	ppmw	
Ca	ppmw	
B	ppmw	
P	ppmw	
Ti	ppmw	
Mn	ppmw	
Moisture	ppmw	
Carbon	ppmw	
Particle size above 710µm	wt%	
Particle size 45~710µm	wt%	
Particle size below 45µm	wt%	

*Below are the test facilities of OCIM.

**It means not to exceed this number.

Appendix 2. Specification of Packing

(A) Outer Bag Drawing



Outer Bag Drawing (unit: mm)		Description	
	Size	Outer	90 x 90 x 110cm
	SWL/SF		1250kg 5:1
	Loops(7)	Lifting Belt	color_black
		Size	28cm, 7cm width belt
		Type	Cross Corner-42gr.
		Colour	black and Beige(Accon standard)
	Top	Spout	40 x 60 cm, Typing Type 1.2m, 5mm dia.
		Fabric	Outer 68+25gr/m2. in soft laminated fabric
		Body Top	Outer 160 + 30gr/m2
	Body Fabric	Inner	104gr/m2 Both-sides laminated
		Outer	204 + 30 gr/m2
		Inner	117gr/m2
	Bottom	Type	Circular w/reinforcements
		Fabric	Outer 204 + 30 gr/m2
		Inner	117gr/m2
		Type	Circular w/reinforcements
		Spout	Size 40dia x 47cm
		Cover(8) Type	Petal closure w/quick release knot
	Webbing(9)	Fabric	Outer 68+25gr/m2. in soft laminated fabric
		Inner	117gr/m2
	Sewing	5cm width white belt is sewn at the 5cm down from the top of the bag(PP 5cm width belt,white,reinforcement belt)	
		Top	Single cord + Double fold
	Sewing	Bottom	Single cord + double fold together with inner fabric

(B) Inner Bag Drawing

Inner Bag Drawing (unit: mm)		Description	
	*Blue Line Drawing of Outer Bag	Red Nonwoven fabric	
	Sewing	Filling Spout	Cord+single fold+double stitch, folding underneath top lid.
		Bottom spout	Inner Cord + single fold with inner wall.
		Outer	Joint seam together with only outer wall.
	Dustproof	Non woven felt and cord according to specified instructions in detail.	
	Doc. Pocket (Out Bag)	Pocket size 45x35 cm size Zip Lock 2EA (one at the same side as label and another at the next side)	
	④	Pocket with flaps.(clear)	
	Bag colour	White	
	Print	Journal.no. 2224	Print on 1 side,2 colors Red 185 Black
	Other info.	125pcs/pallet	
	Out Bag ①	PP1600D 14 x 14 Inside lami-.,White, Tubular Cloth	
	②	PP1600D 14 x 14 Inside lami-., White	
	③	PP1600D 14 x 14 Inside lami-., White	
	④	PP 1000D 10 x 10, Inside lami-.,White	
	⑤	PP 1000D 10 x 10, Inside lami-.,White	
	⑥	PP1600D 14 x 14 Inside lami-.,Beige	
	⑦	Typing Rope_PP 5mm dia.(white)	
	⑧	Slider_PVC 12mm dia. Hose(clear)	
	⑨	Label_Handling Caution. Nylon(white)	
	⑩	Nonwovwn fabric_PE 30mm width(white)	

(C) Specification of Pallet

